

For India and US, agricultural trade could be a win-win option

Prime Minister Narendra Modi's **statement** that India will never **compromise** the interest of its farmers, **livestock rearers** and **fisherfolk** **is** the clearest expression of the **red lines** his government has **drawn** in the **now-stalled** trade agreement talks with the US. **That** there were issues in opening up India's domestic market to US farm produce — GM maize and soyabean, fuel ethanol and dairy products — **was** known. Modi's **speech**, at a conference, last week, **commemorating** the birth **centenary** of the noted agricultural scientist M S Swaminathan **virtually formalised** that position. Agriculture will be not just **a sticking point**, but something India would want to be kept out of the **negotiations**, even if they were to meaningfully **resume**. This **hardening of stance** has primarily to do with politics, both domestic and US President Donald Trump's **tariff** attacks **devoid of** any economic **rationale**.

The **imposition** of a 50 per cent duty on Indian imports — inclusive of a 25 per cent **levy** as "penalty" for purchase of oil from Russia — **has narrowed** the Modi government's **space** for **give-and-take** that is part of the process to **clinch** any trade deal, **more so** in a sensitive sector where even **minor concessions** can invite **accusations** of a **sell-out**. Trump has **muddied the waters** for India to enter into any **constructive negotiations** on agricultural trade. That's unfortunate. **Trade** in farm produce between the two countries **is booming**. Based on the trends during January-June, both exports from India to the US and from the latter to the former are set to touch record highs in 2025. The sharp **jump** in India's purchases of Californian almonds and pistachios and, **likewise**, frozen shrimp shipments from Andhra Pradesh and Odisha to the US **illustrate** the benefits of comparative advantage the two countries **can reap in** agriculture.

Reviving collapsed trade talks is challenging enough in the current situation. Promoting agricultural trade would be politically still harder. California's tree nut **growers**, who exported over \$1.1 billion of produce to India last year, **can** probably tell the US President how business can be done in a **non-adversarial** manner by reaching out to traders and consumers. India has much **scope** to expand exports of seafood, basmati rice, spices and **essential** oils to the US, just as it may need to import maize and soyabean for poultry and cattle at some point. All that is possible when common sense **prevails**.

[Practice Exercise]

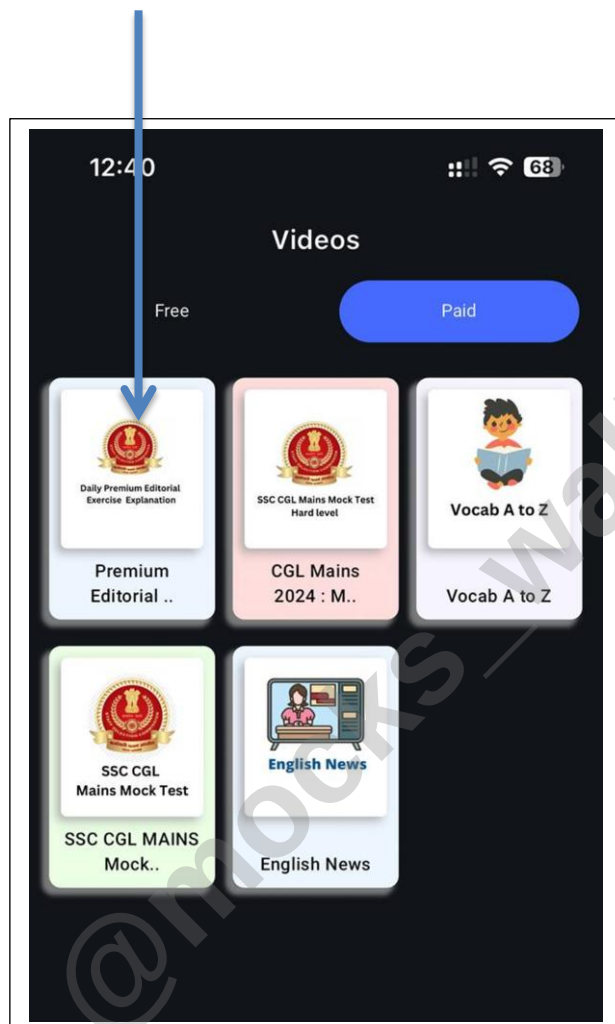
- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Compromise** (noun) – settlement, agreement, adjustment, accommodation, middle ground समझौता
2. **Livestock rearer** (noun) – the process of breeding and raising animals for various agricultural purposes, including meat, milk, wool, and other products. पशुपालक
3. **Fisherfolk** (noun) – fishermen, fishers, anglers, seafarers, fishing community मछुआरे
4. **Draw the red lines** (phrase) – To establish a limit or figurative barrier dictating the furthest bounds of what is tolerable, allowable, or forgivable. सीमाएं तय करना
5. **Stalled** (adjective) – halted, delayed, stopped, obstructed, suspended रुका हुआ
6. **Commemorate** (verb) – celebrate, honor, observe, memorialize, mark स्मरण करना / मनाना
7. **Centenary** (noun) – hundredth anniversary, centennial, jubilee शताब्दी वर्षगांठ
8. **Virtually** (adverb) – almost, nearly, practically, essentially, effectively लगभग / वस्तुतः
9. **Formalise** (verb) – legalize, systematize, standardize, make official औपचारिक बनाना
10. **A sticking point** (phrase) – obstacle, hindrance, stumbling block, dispute, snag अड़चन / विवाद का मुद्दा
11. **Negotiation** (noun) – discussion, bargaining, talks, consultation, deal-making वार्ता
12. **Resume** (noun) – recommencement, continuation, restart, renewal पुनः आरंभ
13. **Hardening** (noun) – stiffening, intensifying, strengthening, solidifying सख्ती
14. **Stance** (noun) – position, viewpoint, attitude, outlook, posture रुख
15. **Tariff** (noun) – duty, tax, levy, fee, impost शुल्क
16. **Devoid** (of) (adjective) – lacking, without, empty of, bereft of रहित
17. **Rationale** (noun) – reasoning, justification, explanation, basis, grounds तर्क / कारण
18. **Imposition** (noun) – enforcement, application, infliction, burden, levy थोपना
19. **Levy** (noun) – tax, charge, duty, fee, toll कर / शुल्क
20. **Narrow** (verb) – reduce, limit, restrict, diminish, shrink घटाना
21. **Space** (noun) – scope, room, capacity, leeway, margin गुंजाइश

22. **Give-and-take** (phrase) – compromise, exchange, reciprocity, mutual concession
लेन-देन / परस्पर समझौता
23. **Clinch** (verb) – secure, finalize, seal, conclude, settle पक्का करना
24. **More so** (phrase) – especially, particularly, all the more, to a greater degree और भी अधिक
25. **Minor** (adjective) – small, insignificant, trivial, negligible, slight मामूली
26. **Concession** (noun) – allowance, compromise, reduction, adjustment, admission रियायत
27. **Accusation** (noun) – charge, allegation, complaint, claim, blame आरोप
28. **Sell-out** (noun) – betrayal, treachery, backstab, disloyalty विश्वासघात
29. **Muddy the waters** (phrase) – confuse, complicate, obscure, cloud स्थिति बिगाड़ना
30. **Constructive** (adjective) – positive, helpful, productive, beneficial, useful रचनात्मक
31. **Negotiation** (noun) – discussion, bargaining, settlement, deal, consultation वार्ता
32. **Booming** (adjective) – thriving, flourishing, prospering, expanding, successful तेजी से बढ़ता हुआ
33. **Likewise** (adverb) – similarly, also, in the same way, correspondingly इसी तरह
34. **Illustrate** (verb) – demonstrate, show, depict, exemplify, explain उदाहरण देकर समझाना
35. **Reap** (in) (verb) – gain, earn, receive, benefit from, derive लाभ पाना
36. **Non-adversarial** (adjective) – friendly, cooperative, peaceful, amicable, harmonious गैर-विरोधी
37. **Scope** (noun) – range, extent, capacity, reach, opportunity गुंजाइश
38. **Essential** (adjective) – necessary, vital, crucial, fundamental, indispensable आवश्यक
39. **Prevail** (verb) – succeed, triumph, win, dominate, overcome प्रबल होना

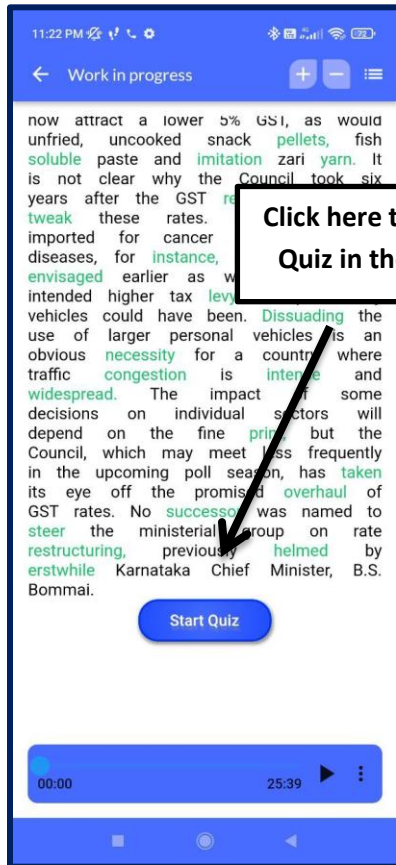
Video solution of Practice Exercise from this Editorial is exclusively available on App.



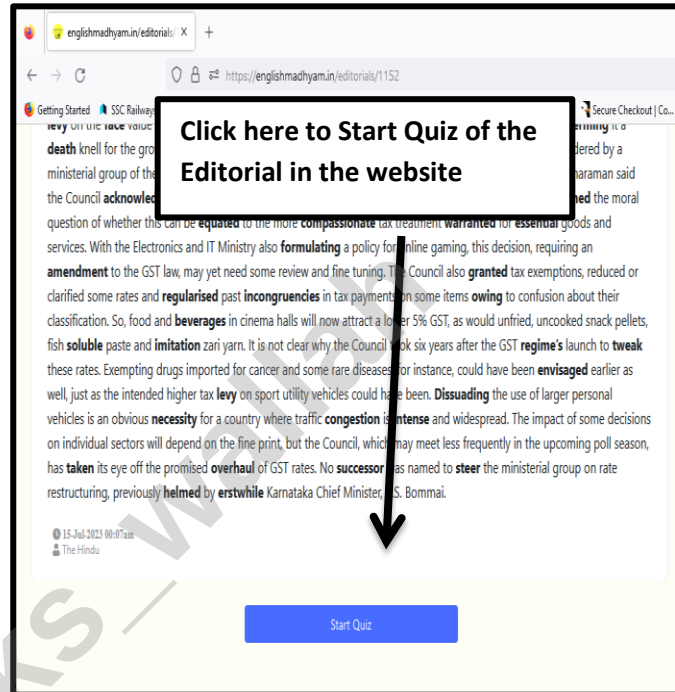
Summary of the Editorial

1. **PM Modi's stance** – India will never compromise on the interests of farmers, livestock rearers, and fisherfolk in trade talks with the US.
2. **Agriculture exclusion** – Modi's speech indicated agriculture should be kept out of trade negotiations.
3. **Background issue** – Disagreements existed over opening India's market to US farm products like GM maize, soyabean, fuel ethanol, and dairy.
4. **Event context** – Statement made during the centenary conference of agricultural scientist M. S. Swaminathan.
5. **Political factors** – India's firm position is influenced by domestic politics and US tariff actions.
6. **Trump's tariffs** – US imposed 50% duty on Indian imports, including a 25% penalty over oil purchases from Russia.
7. **Negotiation challenges** – Tariff hikes reduce India's flexibility for trade concessions, especially in agriculture.
8. **Risk of backlash** – Even small concessions in this sector could spark criticism of a "sell-out."
9. **Current trade growth** – India-US agricultural trade is thriving despite stalled talks.
10. **Record highs expected** – Based on Jan–June trends, farm trade in 2025 may hit record levels for both countries.
11. **Examples of mutual benefits** – India imports Californian almonds and pistachios, while the US buys frozen shrimp from Indian states.
12. **Comparative advantage** – Both countries can benefit by focusing on their agricultural strengths.
13. **California example** – US tree nut growers show how business can thrive without hostility.
14. **Export potential for India** – Seafood, basmati rice, spices, and essential oils have scope for greater sales to the US.
15. **Import opportunities** – India may need to import maize and soyabean for poultry and cattle in the future, possible if pragmatic policies prevail.

Practice Exercise: SSC Pattern Based



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